THE NATIONAL COMPANY LAW TRIBUNAL
CHANDIGARH BENCH (COURT-I), CHANDIGARH

CP(CAA) No.16/Chd/Hry/2023 (2nd Motion)
Connected with
CA (CAA) No.03/Chd/Hry/2023 (1st Motion),
CP(CAA) No.21/Chd/Hry/2023 (2nd Motion)
And CA (CAA) 1 (ND) of 2023

Under Sections 230 & 232 of the Companies Act, 2013 read with Section 66 and 52 of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, the National Company Law Tribunal Rules, 2016 and other applicable provisions.

IN THE MATTER OF SCHEME OF ARRANGEMENT OF:

Star Wire (India) Electricity Pvt Ltd
CIN: U 45201 HR 1998 PTC 104255
PAN: AAC CM 6508 J
having its registered office at
21/3, Delhi-Mathura Road,
Rajeev Colony, Ballabgarh,
Faridabad -121004, Haryana

..... Petitioner No.1/ Transferor Company No.1

AND

Star Wire (India) Biomass Pvt Ltd
CIN: U 45201 HR 1998 PTC 104250
PAN: AAC CM 7250 R
having its registered office at
21/3, Delhi-Mathura Road,
Rajeev Colony, Ballabgarh,
Faridabad, Haryana- 121004

..... Petitioner No.2/ Transferor Company No.2

AND

Mumet (India) Pvt Ltd
CIN: U 28221 HR 1982 PTC 104253
PAN- AAD CM 9586 G
having its registered office at
21/3, Delhi-Mathura Road,

Rajeev Colony, Ballabgarh,
Faridabad, Haryana- 121004

..... Petitioner No.3/ Transferor Company No.3

AND

Juhi Leasing and Finance Ltd
CIN: U 67120 HR 1983 PLC 105339
PAN- AAACJ1506D
having its registered office at
21/3, Delhi-Mathura Road,
Rajeev Colony, Ballabgarh,
Faridabad, Haryana- 121004

..... Petitioner No.4/ Transferor Company No.4

AND

Interglobal Steels Pvt Ltd
CIN: U 74899 HR 1981 PTC 104254
PAN- AAA CS 0304 A
having its registered office at
21/3, Delhi-Mathura Road,
Rajeev Colony, Ballabgarh,
Faridabad, Haryana- 121004

..... Petitioner No.5/ Transferor Company No.5

AND

Sun Source Leafin Pvt Ltd
CIN: U 51909 HR 1996 PTC 104252
PAN- AAE CS 8985 R
having its registered office at
21/3, Delhi-Mathura Road,
Rajeev Colony, Ballabgarh,
Faridabad, Haryana- 121004

..... Petitioner No.6/ Transferor Company No.6

AND

Hollysea Finvest Pvt Ltd
CIN: U 51226 DL1991 PTC 210273
PAN: AAA CH 7102 F
having its registered office at
Y-4-A-C, Loha Mandi,
Naraina, New Delhi- 110028

..... Petitioner No.7/ Transferor Company No.7

AND

Abhinandan Trafin Pvt Ltd
CIN: U 51109 DL 1996 PTC 210272
PAN: AACCA2154N
having its registered office at
Y-4-A-C, Loha Mandi,
Naraina, New Delhi- 110028

..... Petitioner No.8/ Transferor Company No.8

Star Wire (India) Ltd
CIN: U 27109 HR 1963 PLC 105338
PAN: AAE CS 1124 Q
having its registered office at
21/4, Mathura Road,
Ballabgarh, Faridabad,
Haryana- 121004

..... Petitioner No.9/ Transferee Company

AND

Star Wire (India) Laboratories Pvt Ltd
CIN: U 29200 HR 2022 PTC 107633
PAN: ABJ CS 7042 R
having its registered office at
21/4, Mathura Road,
Ballabgarh, Faridabad,
Haryana- 121004

..... Petitioner No.10/ Resulting Company

Judgement Delivered on: 06.11.2024

Coram: HON'BLE SH. HARNAM SINGH THAKUR, MEMBER (JUDICIAL)
HON'BLE SH. UMESH KUMAR SHUKLA, MEMBER (TECHNICAL)

Present:

For the Petitioner: Mr. Rajeev K. Goel, Advocate.
For the RD/RoC: Mr. Vineet Khatri, Company Prosecutor.
For the OL: Mr. Arnav Gupta, Advocate
For the Income Tax Department: Mr. Yogesh Putney, Senior Standing Counsel.
For the RBI: Mr. K.V. Singhal, Advocate

Per: Sh. Harnam Singh Thakur, Member (Judicial)
Sh. Umesh Kumar Shukla, Member (Technical)

Judgement

This is a 2nd Motion Joint Petition filed under the provisions of Sections 230 & 232 of the Companies Act, 2013, read with Sections 66 and 52 of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, the National Company Law Tribunal Rules, 2016 and other applicable provisions by the Star Wire (India) Electricity Pvt Ltd (hereinafter referred to as the "Petitioner No.1" or "Transferor Company No.1"), Star Wire (India) Biomass Pvt Ltd (hereinafter referred to as the "Petitioner No.2" or "Transferor Company No.2"), Mumet (India) Pvt Ltd (hereinafter referred to as the "Petitioner No.3" or "Transferor Company No.3"), Juhi Leasing and Finance Ltd (hereinafter referred to as the "Petitioner No.4" or "Transferor Company No.4"), Interglobal Steels Pvt Ltd (hereinafter referred to as the "Petitioner No.5" or "Transferor Company No.5"), Sun Source Leafin Pvt Ltd (hereinafter referred to as the "Petitioner No.6" or "Transferor Company No.6"), Hollysea Finvest Pvt Ltd (hereinafter referred to as the "Petitioner No.7" or "Transferor Company No.7"), Abhinandan Trafin Pvt Ltd (hereinafter referred to as the "Petitioner No.8" or "Transferor Company No.8") (hereinafter Transferor Company No.1 to 8 collectively referred to as the "Transferor Companies"), Star Wire (India) Ltd (hereinafter referred to as the "Petitioner No.9" or "Transferee Company") and Star Wire (India) Laboratories Pvt Ltd (hereinafter referred to as the "Petitioner No.10" or "Resulting Company") (hereinafter Petitioner No.1 to 10 collectively referred to as the "Petitioner Companies") to obtain sanction of the Composite Scheme of Arrangement, which provides for amalgamation of Transferor Company No.1 to 8 with the Transferee Company and demerger of diagnostic business and other ancillary activities of Transferee Company in the Resulting Company and various other matters incidental, consequential or otherwise integrally connected with the amalgamation

and demerger (hereinafter collectively referred to as the “Scheme”). The copy of the Scheme has been annexed as Annexure P-1 of the Petition.

2. Earlier, the Transferor Companies No. 1 to 6, the Transferee Company and the Resulting Company had filed a joint 2nd motion Petition being CP(CAA)16/Chd/Hry of 2023 vide Diary No. 0404116/01223/2023 dated 11.04.2023 and the Transferor Companies No. 7 & 8 had filed another 2nd motion Petition being CP(CAA)21/Chd/Hry of 2023 vide Diary No. 0404116/01966/2023 dated 10.06.2023. During the course of the arguments in the hearing dated 14.06.2024, It was stated by learned counsel for the Petitioner Companies that to avoid the confusion, he may be permitted to file an application to amend CP(CAA) 16/Chd/Hry/2023 by consolidating CP(CAA) 21/Chd/Hry/2023 in the same and this Tribunal vide its order dated 14.06.2024 permitted the same. In compliance of the order dated 14.06.2024, the Petitioner Companies filed COMP. APPL/149(CH)2024 under Rule 11 of NCLT Rules 2016 for consolidation of CP(CAA) No.21/Chd/Hry/2023 with the present Petition i.e. CP(CAA) No.16/Chd/Hry/2023. The COMP. APPL/149(CH)2024 was allowed and disposed of by this Tribunal vide its Order dated 12.07.2024 consolidating the CP(CAA) No.21/Chd/Hry/2023 with CP(CAA) No.16/Chd/Hry/2023 with a direction that CP(CAA) No.21/Chd/Hry/2023 be tagged with the main petition i.e. CP(CAA) No.16/Chd/Hry/2023 for reference purpose.

CP(CAA) No.16/Chd/Hry/2023

3. The Transferor Companies No. 1 to 6, the Transferee Company and the Resulting Company had filed First Motion Application bearing No. CA (CAA) No.03/Chd/Hry/2023, seeking directions to dispensing with the requirement of convening the meetings of the Equity Shareholders of the Transferor Companies No.

1 to 6, the Transferee Company and the Resulting Company; (1%) Non-cumulative Redeemable Preference Shareholders and (4%) Non-cumulative Redeemable Preference Shareholders of the Transferee Company and Unsecured Creditors of the Transferor Companies No. 1 to 6 and the Resulting Company and further prayed to convene the separate meetings of Secured Creditors and Unsecured Creditors of the Transferee Company. The First Motion Application was disposed of by this Tribunal vide its order dated 16.02.2023. Vide above order, the meetings of the Equity Shareholders of the Transferor Companies No. 1 to 6, the Transferee Company & the Resulting Companies; meetings of the Preference Shareholders of the Transferee Company; and Un-secured creditors of the Transferor Companies No.1 to 6 and Resulting Company were dispensed with for the reasons mentioned in the aforesaid order and it was directed to convene the separate meetings of the Secured and Unsecured Creditors of the Transferee Company.

4. The Board of Directors of the Transferor Companies 1 to 6 in their meetings held on 30.11.2022, have unanimously approved the Scheme and filing thereof. The list of Board of Directors and extracts of the minutes of the above-mentioned Board meeting are attached with the petition as Annexure P-6 & P-7, Annexure P-11 & P-12, Annexure P-16 & P-17, Annexure P-21 & P-22, Annexure P-26 & P-27 and Annexure P-31 & P-32 respectively. The Board of Directors of the Transferee Company and Resulting Company in their meetings held on 01.12.2022, have unanimously approved the Scheme and filing thereof. The list of Board of Directors and extracts of the minutes of the above-mentioned Board meeting are attached with the petition as Annexure P-36 & P-37 and Annexure P-42 & P-43 respectively.

5. In CP(CAA) No.16/Chd/Hry/2023 as per Chairperson's Reports dated 03.04.2023, the Scheme of Arrangement has been approved by 100% votes cast in

favour of the resolution as percentage of total votes cast of the Secured and Unsecured Creditors respectively of the Transferee Company.

6. In the second motion proceedings, this Tribunal, vide its Orders dated 19.04.2023, gave the following directions:

(i) The notice of hearing will be advertised in “Business Standard” (English) and “Business Standard” (Hindi), both in Delhi NCR Edition.

(ii) The Petitioner Companies shall serve the notice of the Petition on the following Authorities namely, a) Central Government through Regional Director (Northern Region), Ministry of Corporate Affairs; New Delhi; (b) the Registrar of Companies, NCT of Delhi and Haryana, New Delhi, (c) the Official Liquidator attached to Punjab and Haryana, High Court at Chandigarh; (d) the Reserve Bank of India, New Delhi and (e) the Income Tax Department.

(iii) The Petitioner Companies shall file an affidavit of service regarding newspaper publication with newspaper clippings as well as service of notices on the authorities specified above.

(iv) The Petitioner Companies shall also file an affidavit stating the objections received from public pursuant to publication of notice of hearing in the newspaper.

(v) The Registry shall also report as to whether any objection has been received to the proposed ‘Scheme’

7. In compliance of the above Order in CP(CAA) No.16/Chd/Hry/2023 of this Tribunal, the Petitioner Companies, vide Diary No. 01223/01 dated 16.06.2023, filed the compliance affidavit stating:

(i) The notice of hearing was published in “Business Standard” (English) and “Business Standard” (Hindi) both in Delhi NCR Edition on 05.06.2023. The original copies of the newspapers have been attached as Annexure-1 of the aforesaid affidavit.

(ii) The copies of notices were served upon the a) Central Government through Regional Director (Northern Region), Ministry of Corporate Affairs; New Delhi; (b) the Registrar of Companies, NCT of Delhi and Haryana, New Delhi, (c) the Official Liquidator attached to Punjab and Haryana High Court at Chandigarh; (d) the Reserve Bank of India, New Delhi and (e)) the Income Tax Department, in the respective circle/ ward, where these Companies are assessed or through the nodal office by mentioning the PAN number of the Petitioner Companies along with a copy of this petition. The copy of the proof of service of notice to the aforesaid statutory authorities, in original are attached as Annexure-2 of the aforesaid affidavit.

8. The Petitioner Transferee Company have filed affidavit vide Diary No. 01223/02 dated 17.07.2023, confirming that no objections/ representation have been received from any person against the composite scheme of Arrangement till the date of filling of this Affidavit, supported by separate affidavit on behalf of Transferor Company No.1 to 6 and resulting company.

CP(CAA) No.21/Chd/Hry/2023

9. The Transferor Companies No.7 and 8 have their registered offices in the NCT of Delhi hence are under jurisdiction of New Delhi Bench, New Delhi. They had filed a joint 1st Motion Application being CA(CAA) 1 (ND) of 2023, before the Hon'ble National Company Law Tribunal, New Delhi Bench-II, New Delhi for necessary directions. However, the Hon'ble New Delhi Bench-II was of the opinion that it would be better, if the entire matter is placed before the Chandigarh Bench for consideration. Accordingly, the Transferor Companies No. 7 & 8 moved an Application under Rule 16(d) of the National Company Law Tribunal Rules, 2016 being TA (Co. Act) 03 (PB) of 2023 before the Hon'ble National Company Law Tribunal, Principal Bench for Transfer of 1st Motion Application filed by the Transferor Companies No. 7 & 8, to the Chandigarh Bench. The Hon'ble Principal Bench vide its order dated 7.02.2023, allowed the aforesaid Application and transferred the 1st Motion Application [being CA (CAA) 1 (ND) of 2023] filed by the Transferor Companies No. 7 & 8 to the Chandigarh Bench. The copies of the Order dated 7.02.2023, passed by the Hon'ble Principal Bench and the Order dated 6.03.2023, passed by the Hon'ble New Delhi Bench-II have been attached with the Petition as Annexure P-2 and P-3, respectively.

10. In the First Motion Application bearing RT CA (CAA) No.1 Chd/Hry/2023, the Transferor Companies 7 and 8 had prayed for dispensing with the requirement of convening the meetings of its Equity Shareholders, Secured and Unsecured Creditors. The First Motion Application was disposed of by this Tribunal vide its order dated 29.05.2023. Vide above order, the meetings of the Equity Shareholders and Secured and Un-secured creditors of Transferor Companies 7 and 8 were dispensed with for the reasons mentioned in the aforesaid order.

11. The Board of Directors of the Transferor Companies 7 & 8, in their meetings held on 01.12.2022, have unanimously approved the Scheme and filing thereof. The list of Board of Directors and extracts of the minutes of the above-mentioned Board meeting are attached as Annexure P-4 & P-5 and Annexure P-9 & P-10 respectively, with the Petition.

12. In the second motion proceedings, this Tribunal, vide its Order dated 15.06.2023, gave the following directions:

(i) The notice of hearing will be advertised in “Business Standard” (English) and “Business Standard” (Hindi), both in Delhi Edition.

(ii) The Petitioner Companies shall serve the notice of the Petition on the following Authorities namely, a) Central Government through Regional Director (Northern Region), Ministry of Corporate Affairs; New Delhi; (b) the Registrar of Companies, NCT of Delhi and Haryana, New Delhi, (c) the Official Liquidator, New Delhi; (d) the Reserve Bank of India, New Delhi and (e) the Income Tax Department.

(iii) The Petitioner Companies shall file an affidavit of service regarding newspaper publication with newspaper clippings as well as service of notices on the authorities specified above.

(iv) The Petitioner Companies shall also file an affidavit stating the objections received from public pursuant to publication of notice of hearing in the newspapers.

(v) The Registry shall also report as to whether any objection has been received to the proposed ‘Scheme’

13. In compliance of the above Order of this Tribunal, the Petitioner Transferor Companies, vide Diary No. 01966/01 dated 17.07.2023, filed the compliance affidavit stating:

(i) The notice of hearing was published in “Business Standard” (English) and “Business Standard” (Hindi), both in Delhi Edition on 07.07.2023. The original copies of the newspapers have been attached as Annexure-1 of the aforesaid affidavit.

(ii) The copies of notices were served upon the a) Central Government through Regional Director (Northern Region), Ministry of Corporate Affairs; New Delhi; (b) the Registrar of Companies, NCT of Delhi and Haryana, New Delhi, (c) the Official Liquidator, New Delhi; (d) the Reserve Bank of India, New Delhi and (e) the Income Tax Department, in the respective circle/ward where these Companies are assessed or through the nodal office by mentioning the PAN number of the Petitioner Companies along with a copy of this petition. The copy of the proof of service of notice to the aforesaid statutory authorities, in original are attached as Annexure-2 of the aforesaid affidavit.

14. The Transferor Company No. 7 and 8 have filed affidavit vide Diary No. 01966/2 dated 17.07.2023, confirming that no objections/ representation have been received from any person against the scheme till the date of filling of this Affidavit, which was taken on record vide this Tribunal Order dated 19.07.2023.

15. In response to the notice issued in CP(CAA) No.16/Chd/Hry/2023 and CP(CAA) No.21/Chd/Hry/2023 to the statutory authorities/ regulators, the status of reports filed by them is as below:

Regional Director/ Registrar of Companies:

16. With regard to CP(CAA)No.16/Chd/Hry/2023 and CP(CAA) No.21/Chd/Hry/2023, the Regional Director (hereinafter referred to as the "RD"), vide Diary No.011966/05 dated 10.10.2023 and vide Diary No.01223/13 dated 19.03.2024 respectively, filed its report enclosing therewith the copy of the report of the Registrar of Companies (hereinafter referred to as the "RoC") with certain observations, in response to which the Petitioner Companies filed reply affidavit vide Diary no. 01223/11 dated 08.02.2024 and vide Diary no. 01966/17 dated 08.02.2024 respectively.

(i) The RD/RoC observations and the Petitioner Companies response have been shown in the Table below:

	RD/RoC Observations	Petitioner Companies Response
(i)	Different parts of the Scheme will be effective from different appointed dates. However, section 232(6) of the Companies Act, 2Ot3 requires that there would be one appointed date for the Scheme.	The present Composite Scheme of Arrangement, inter alia, provides for Amalgamation and Demerger. The Scheme, accordingly, provides for two appointed dates. The Appointed Date-1 is relevant for the proposed Amalgamation. Whereas the Appointed Date-2 is relevant for the proposed Demerger. It may be noted that Section 230(6) provides that the Scheme must indicate an appointed date from which it shall be effective. In case of a composite Scheme which provides for more than one transaction, different appointed dates for each of the transaction may be indicated. Contrary to the submissions by the ROC, Section 230(6) neither stipulates that there would be only one appointed date for the Scheme, nor puts any restriction on providing more than one appointed date in cases where scheme provides for more than one transaction. Relevant Extracts of Section 232(6) of the Companies Act, 2013, are given below for ready reference: *"The scheme under this section shall clearly indicate an appointed date from which it shall be effective and the scheme shall be deemed to be effective from such date and not at a date subsequent to the appointed date."* It is important to note that there are several precedents where Schemes with two appointed dates have been approved by the Tribunal. Copies of the Orders passed

	RD/RoC Observations	Petitioner Companies Response
		in some of the similar cases are enclosed herewith and collectively marked as Annexure: 1. It may further be noted that this Tribunal has all the powers to modify any provision of the Scheme including the Appointed Date(s). Present Scheme also provides the same. The Petitioners are agreeable for change in the Appointed Date(s) if this Tribunal deems fit,
(ii)	The pre-scheme paid-up share capital of the resulting company is getting completely reduced without payment to the shareholder. The rationale for the scheme is not clear.	Present issued, and paid-up share capital of the Resulting Company is Rs.20,000 divided into 2,000 Equity Shares of Rs.10 each, held by the main Promoters of the Company, It is proposed that upon the Scheme becoming effective, the Resulting Company will have Shareholders consisting of the Shareholders of the Transferee Company only. In other words, post-Scheme, the Resulting Company and the Transferee Company will have mirror shareholding (the same set of shareholders holding the same percentage of shares in both the Companies). Accordingly, the Scheme provides for cancellation of entire pre-Scheme share capital of the Resulting Company without any payment to any shareholders. In case of Demerger into a new company, this is a common practice to ensure uniform representation of the Shareholders in the Demerged Company as well as the Resulting Company. Rationale of such cancellation/reduction of capital is duly disclosed in the Scheme. Relevant extracts of the Scheme are given below: *3.10.7 Present issued and paid-up share capital of the Resulting Company is Rs.20,000 divided into 2,000 Equity Shares of Rs.10 each. In terms of the provisions of this Scheme, the Resulting Company will issue Shares to the Shareholders of the Demerged Company. However, it is proposed that upon the Scheme becoming effective, the Resulting Company will have Shareholders consisting of the Shareholders of the Transferee Company only. Accordingly, upon the Scheme becoming effective, the pre-Scheme issued and paid-up share capital of the Resulting Company which consists of 2,000 Equity Shares of Rs.10 each aggregating Rs.20,000 will be cancelled, without any payment being made to any shareholder against such cancellation.* *3.10.2 Accordingly, upon the Scheme coming into effect, pre Scheme issued and paid-up share capital of the Resulting Company consisting of 2,000 Equity Shares of Rs.10 each aggregating Rs.20,000, will stand cancelled. It is clarified that the Resulting Company will not make any payment to any Shareholders against such cancellation.*

	RD/RoC Observations	Petitioner Companies Response
		3.10.3 It is clarified that no creditor of the Resulting Company will be adversely affected by the proposed reduction of share capital. It may be noted that all the Shareholders of all the Petitioner Companies, including the Resulting Company have given their Consent Affidavits to the Scheme. Further, in view of the fact that no payment is proposed to be made against the cancellation of shares, none of the Creditors or any other persons will be adversely affected with the proposed cancellation.
(iii)	As per audited financial statements of all the Transferor Companies except Transferor Company no. 02 for the F.Y. 202L-22, it is seen that the companies have nil revenue from its operation since last two years. Hence, these companies appear to be dormant u/s 455 of the Companies Act, 2013.	As mentioned in the Petition, all the Transferor Companies have made investments in various Group entities. All these Companies are Core Investment Companies (CIC) in terms of the RBI Regulations. In fact, the Transferor Companies No. 6,7 & 8 were registered with the Reserve Bank of India as non-deposit accepting Non-Banking Finance Companies (NBFC-ND). Since there are Core Investment Companies (CIC) in terms of the RBI Regulations and do not require NBFC Registration, these Companies surrendered the Certificate of Registration as NBFC to the RBI for cancellation. We, accordingly, clarify and confirm that none of the Petitioner Companies is a Dormant Company within the meaning of Section 455 of the Companies Act, 2013. It may be noted that Section 455 provides a facility to the companies which are formed for future projects to register as dormant companies and avail the facility of making fewer compliances and filing of fewer documents as against an active company. However, all the Petitioner Companies have been making all the applicable compliances and filing various documents as active companies under the Companies Act, 2013.
(iv)	As per audited financial statements of the Transferor company no. 02 and 04 for the F.Y. 2021-22, it is seen that the body corporates hold more than 10% of their shareholding. However, the companies have not filed the e-form BEN-2 with the ROC.	With regard to filing of e-Form BEN-2, we wish to clarify and confirm that all the Body Corporate Shareholders of the Transferor Companies No. 2 & 4 further have Body Corporates Shareholders, which hold the majority stake. Due to the peculiar circumstances of the present case, filing of e-Form BEN-2 is not applicable/required in terms of the provisions of Sections 89 and 90 of the Companies Act, 20t3, read with the Companies (Significant Beneficial Owners) Rules, 20t8, and other applicable provisions, if any. Certificates from the practicing Company Secretary conforming that the Transferor Company no. 2 & 4 are not required to file e-Form BEN-2 are enclosed herewith and collectively marked as Annexure:2.
(v)	As per audited financial statements of the Transferor company no. 02 for the F.Y. 202L-22, it is seen that company has taken	It is confirmed that the Transferor Company No. 2 has already filed e-form DPT-3 with the ROC along with the requisite fee.

<table>
<tr><th></th><th>RD/RoC Observations</th><th>Petitioner Companies Response</th></tr>
<tr><td></td><td>loans from the related parties of Rs.5,00,000/-. However, the company has not filed e-from DPT-3.</td><td>Copies of e-form DPT-3 and filing receipt are enclosed herewith and collectively marked as Annexure: 3.</td></tr>
<tr><td>(vi)</td><td>As per audited financial statements of the Transferor Company no. 03, Transferor Company no. 04 Transferor Company no. 05 for the F.Y. 2O21-22, it is seen that these companies meet the criteria of 50:50 test (i.e. company's financial assets are more than 50% of its total assets and other income is also more than 50% of its total income). Hence, the company is deemed to be NBFC.</td><td>As mentioned above, all the Transferor Companies have made investments in various Group Entities. In terms of the RBI Regulations, all these Companies are Core Investment Companies (CIC) and do not require to obtain registration as NBFC from the RBI. In fact, the Transferor Companies No. 6,7 & 8 were registered with the Reserve Bank of India as non-deposit accepting Non-Banking Finance Companies (NBFC-ND), Being Core Investment Companies, these Companies have surrendered the Certificate of Registration as NBFC to the RBI for cancellation.

It may be noted that the RBI is the Regulator for Non-Banking Financial Companies in India. Notice of the present Scheme has been given to the RBI and the RBI has already given its NOC to the Scheme. In view of the specific NOC given by the concerned Regulator-the RBI to the Scheme, observation made by the Learned ROC qua NBFC Regulations may not be relevant and may kindly be ignored.

Copies of the relevant RBI Notification and NOC given by the RBI to the Scheme are enclosed at Annexure 4 & 5, respectively.</td></tr>
<tr><td>(vii)</td><td>As per audited financial statements for the F.Y. 2O2l-22, it is seen that the Transferor Company no. 6, 7 & 8 are registered NBFC with RBI. Further, is mentioned in the petition that the companies have surrendered their registration certificate. Hence the companies may be asked to provide the copy of surrender letter/ certificate of cancellation of registration.</td><td>As disclosed in the Scheme and Petition, etc., the Transferor Companies No. 6,7 and 8 were registered with the Reserve Bank of India (the RBI) as non-deposit accepting Non-Banking Finance Company (NBFC-ND). Since all these Companies are Core Investment Companies (CIC) in terms of the RBI Regulations and do not require NBFC Registration, the Transferor Companies No. 6 to 8 have surrendered the Certificate of Registration as NBFC to the RBI for cancellation. Copy of the Surrender Letters are enclosed herewith and collectively marked as Annexure: 6.</td></tr>
<tr><td>(viii)</td><td>As per audited financial statement of the Transferor Company no.05, for the F.Y. 2O2L-22, it is seen from the point no. 'k ' of the notes to account there is "contingent liabilities of the Income Tax Department" the details of the same are:
<table>
<tr><th>Demand Reference no.</th><th>Assessment Year</th><th>Order u/s & dated</th><th>Demand Amount</th></tr>
<tr><td>20192018370322194200</td><td>2018-19</td><td>143(1) dt. 02/07/2019</td><td>24,390.00</td></tr>
<tr><td>20182011404017725 1C</td><td>2012-13</td><td>143(1) dt. 09/03/2015</td><td>196,110.0</td></tr>
</table></td><td>As pointed out by the Learned ROC, the Transferor Company No. 5 has "contingent liabilities of the Income Tax Department" which are under appeal. The Transferee Company hereby confirms and undertakes that all the aforesaid Income Tax demands will be paid as per the outcome of the pending appeals, in accordance with the applicable provisions of law. It is pertinent to mention that the Scheme of Amalgamation also provides that all the liabilities including Income Tax and other statutory dues of the Transferor Companies will be merged into the Transferee Company. It may be noted that the Transferee Company is the Flagship Company of the Group and has strong Net worth. Hence, sanction of the present Scheme of Amalgamation by the Hon'ble Tribunal will</td></tr>
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	RD/RoC Observations	Petitioner Companies Response
		not adversely affect the interest of the Income Tax Department.
(ix)	With reference to Transferee Company auditor has stated in his report for the F.Y. 202L-22 that the company has not paid certain statutory dues on account of dispute and cases for the same are being pending before their respective authority.	As pointed out by the Learned ROC, Auditor of the Transferee Company in his report for the F.Y. 202L-22, has stated that the Transferee Company has not paid certain statutory dues on account of dispute and cases for the same are being pending before their respective authority. The Transferee Company hereby confirms and undertakes that all the aforesaid income tax demands will be paid
(x)	The Transferee company may kindly be directed to comply with the provisions of Section 232(3)(i) of the Companies Act, 2013 regarding fee payable of its revised Authorized Share Capital	We wish to clarify and confirm that Clause 2.8.3 of the Scheme of Arrangement clearly provides that in terms of the provisions of Section 232(3)(i) of the Companies Act, 2013, the Transferee Company will pay the balance fee and other charges, if any, on the increase in its authorised share capital pursuant to the Scheme. We once again confirm and undertake that the Transferee Company will comply with the provisions of section 232(3)(i) of the Companies Act, 2013, and other applicable provisions, if any, and make the requisite payment to the Registrar of Companies and other authorities, if any, on increase of its authorised capital pursuant to the sanction of the Scheme of Arrangement.

(ii) The Petitioner Companies have confirmed that neither the Petitioner Companies nor their Legal Counsel has received any objection against the proposed Scheme of Arrangement except the Reports/comments filed by the Statutory Authorities. They have also submitted that the present Scheme is in the larger interest of the Shareholders, Creditors, employees and all other stakeholders of all the Petitioner Companies and the Scheme has received overwhelming approval from various stakeholders. The Statutory Authorities like the Income Tax Department, the Reserve Bank of India have already given their NOC to the Scheme. Hence, the present Composite Scheme of Arrangement meets all the parameters

(iii) In the hearing dated 23.08.2024, it was stated by Mr. Vineet Khatri, Company Prosecutor representing RD that after going through the reply of the Petitioner Companies, RD is satisfied with the observations.

Official Liquidator:

17. The Official Liquidator attached to Hon'ble, Punjab & Haryana High Court at Chandigarh (hereinafter referred to as OL, Chandigarh), vide Diary No.01223/3 dated 28.08.2023, filed its report in CP(CAA)No.16/Chd/Hry/2023, wherein it has made some observation for which, the Petitioner Companies has filed a response affidavit vide Diary no. 01223/8 dated 08.02.2024.

(i) The observation in OL Chandigarh report and response thereto by the Petitioner Companies is shown in Table below:

OL Chandigarh Observations	Petitioner Companies Response
A. Objects of the Business: the details of main objects of the companies are given below: - i. Transferor Company No. 1, Star Wire (India) Electricity Pvt. Ltd., deals in energy and metal industries and other related activities. It has made investment in various group entities and is a Core Investment Company in terms of RBI regulations. ii. Transferor Company No. 2, Star Wire (India) Biomass Pvt. Ltd., is engaged in agricultural activities and has also made investment in various group entities. iii. Transferor Company No. 3, Mumet (India) Pvt. Ltd., deals in industrial, consumer and intermediate products and other related activities. It has made investment in various group entities and is a Core Investment Company in terms of RBI regulations. iv. Transferor Company No. 4, Juhi Leasing and Finance Ltd., has made investment in various group entities and is a Core Investment Company in terms of RBI regulations. v. Transferor Company No. 5, Interglobal Steels Pvt. Ltd., deals in iron and steel industry and other related activities. It has made investment in various group entities and is a Core Investment Company in terms of RBI regulations. vi. Transferor Company No. 6, Sun Source Leafin Pvt. Ltd., has made investments in various group entities and other related activities. It was registered with RBI as a non-deposit accepting non-banking Finance Company (NBFC-ND). Since it is a Core Investment Company in terms of RBI Regulation and does not require NBFC registration, it surrendered the Certificate of Registration as NBFC to RBI for cancellation.	All the Transferor Companies No. 1 to 6 are active companies and are making due compliance with all applicable provisions of various statutes. All the Transferor Companies No. 1 to 6 have made investments in various Group Entities and are Core Investment Companies in terms of the RBI Regulations. Hence most of funds of these Companies are deployed in Group Entities. The Transferor Company No. 6 was registered with the RBI as non-deposit accepting Non-Banking Finance Company (NBFC-ND). Since it is a Core Investment Company in terms of the RBI Regulations and does not require NBFC Registration, the Company has surrendered the Certificate of Registration as NBFC to the RBI for cancellation. The notice of the Scheme was also given to the RBI and it has given its No Objection to the proposed Scheme, which is enclosed at as Annexure: 1 of the reply affidavit.

OL Chandigarh Observations	Petitioner Companies Response
vii. Transferee Company, Star-wire (India) Ltd., has the following business verticals: a. Manufacturing of castings, forgings and rolled produces from alloy steel, super alloy steel, high grade stainless steel and special steel. b. Diagnostic business and other ancillary activities:	
B, Revenue from Operation: As per the statement of Profit and loss account of Transferor Company 1 to 6, the Transferor Companies are not doing any business activity since the last three years, as the revenue from operation is Nil/ or almost negligible and the major part of income is Interest on investment/ dividend received on the investment in the group companies.	
C**. Major liability of the company is only the Share premium:** As per the balance sheet of the companies, their major assets are non-current investment in the group companies and major liabilities are reserve and surplus and share premium.	

(ii) After considering the reply filed by the Petitioner Companies, the OL Chandigarh, filed additional report vide diary no.01223/12 dated 20.02.24 which is reproduced as below:

i. **As regards to the Observation "a" i.e Objects of the Business**, it is submitted that it is factual in nature, but it specify that all of the Transferor Companies have different objects.

ii. **As regards to the Observation "b" i.e Revenue from Operations**, it is submitted that the information specify that the Transferor companies does not have any income from operations although, these companies have some income from dividend/agriculture income/interest income.

iii. **As regards to the Observation "c" major liability of the company is Share premium only**, it specify that the investment is the only main asset of the Company. Further, it is submitted that as the petitioner company have informed that the RBI has given its "No objection to the Proposed Scheme" therefore the Official Liquidator agrees with the reply of Petitioner Company in this regards.

(iii) In the hearing dated 23.08.2024, it was stated by ld. counsel for the OL Chandigarh that after receiving the reply of the Petitioner Companies, OL Chandigarh has no objections to the Scheme.

18. The Official Liquidator attached to Hon'ble, Delhi High Court at Delhi (hereinafter referred to as OL, Delhi), vide Diary No.01966/13 dated 31.01.2024, filed its report in

CP(CAA)No.21/Chd/Hry/2023, which was taken on record vide this Tribunal Order dated 09.02.2024. wherein it has made the following observation:

> 26. That the Official Liquidator on the basis of information submitted by the Petitioner Companies is of the view that the affairs of the aforesaid Petitioner Transferor Company No. 7 and Transferor Company No. 8 do not appear to have been conducted in a manner prejudicial to the interest of its members or to public interest in terms of the provisions of the Companies Act, 2013.

In the hearing dated 09.12.2024, it was noted that there is no particular observations in the said report of OL, Delhi, so there is no need for filing the response.

Income Tax Department:

19. The Income Tax Department (hereinafter referred to as the "ITD") has filed its report for the Transferor Company No.1 to 6 & 8, Transferee Company and Resulting Company, vide diary no. 01223/4 dated 05.09.2023 in CP(CAA) No.16/Chd/Hry/2023 and for the Transferor Company No.7 vide diary no. 01223/6 dated 22.09.2023 in CP(CAA)No.16/Chd/Hry/2023 and vide diary no.01966/7 dated 22.09.2023 in CP(CAA) No.21/Chd/Hry/2023 respectively, which were taken on record vide this Tribunal Order dated 22.12.2023.

(i) The observations in the ITD reports has been shown in Table below:

Petitioner Company	ITD Observations
Transferor Company No.1: Star Wire (India) Electricity Pvt Ltd	"In this regard, it is submitted that the assessee company M/s Star Wire (India) Electricity Private Limited, (AACCM6508J, M/s Star Wire (India) Biomass Private Limited, (AACCM7250R), and M/s Sun Source Leafin Private Limited, (AAECS8985R) (Transferor Company) is assessed to tax with this ward. As per income Tax database, there is no outstanding demand in respect of these company and the department has no objection in amalgamation of these companies with **M/s Star Wire (India) Limited".**
Transferor Company No.2: Star Wire (India) Biomass Pvt Ltd	"In this regard, it is submitted that the assessee company M/s Star Wire (India) Electricity Private Limited, (AACCM6508J, M/s Star Wire (India) Biomass Private Limited, (AACCM7250R), and M/s Sun Source Leafin Private Limited, (AAECS8985R) (Transferor Company) is assessed to tax with this ward. As per income Tax database, there is no outstanding demand in respect of these company and the department has no objection in amalgamation of these companies with **M/s Star Wire (India) Limited".**

<table>
<tr><th>Petitioner Company</th><th>ITD Observations</th></tr>
<tr><td>Transferor Company No.3: Mumet (India) Pvt Ltd</td><td>
In this regard, it is submitted that the assessee company M/s. Mumet (India) Pvt. Ltd. [Transferor Company] is assessed to tax with this office. As per Income Tax database, there is no outstanding demand in respect of this company and this office has no objection in the amalgamation of this company with Star Wire (India) Ltd. (PAN- AAECS1240) [Transferee Company]

The observation report in respect of M/s. M/s. Mumet (India) Pvt. Ltd.(PAN- AADCM9856G) is as under:
<table>
<tr><th>Sl No.</th><th>Particulars</th><th>Status</th></tr>
<tr><td>1.</td><td>Whether there is any Income Tax demand pending against the company? If yes, the quantum thereof may kindly be communicated. In view of the above it is requested that the concerned Assessing Officer for each of the above companies prepare their respective para-wise comments or instructions with respect to the present company petition and the Scheme of Amalgamation therein, including the following information</td><td>As per the system and record available, no demand is pending against the assessee company.</td></tr>
<tr><td>2.</td><td>The details of any proceedings under Income Tax Act pending against the above company, if any.</td><td>As per ITBA system of Ward- 10(2), Kolkata, No proceedings pending.</td></tr>
<tr><td>3.</td><td>Whether the Income Tax Department would have any objection to the said Scheme of Arrangement being approved by the Hon'ble NCLT? If yes, the detailed reasoning behind such objection.</td><td>Department / Revenue reserves its right to initiate and /or continue any proceedings under IT Act, 1961.

Department / Revenue reserves its rights to recover any demand payable by the company, if it comes to the knowledge of the Department/Revenue.</td></tr>
<tr><td>4.</td><td>Any other details of instruction which may have bearing on the case in order to safeguard interest of Revenue.</td><td>.....</td></tr>
</table>
</td></tr>
<tr><td>Transferor Company No.4: Juhi Leasing and Finance Ltd</td><td>
The observations report in respects/report of M/s JUHI LEASING & FINANCE LIMITED, (PAN-AAACJ1506D) is as under
<table>
<tr><th colspan="4">M/s JUHI LEASING & FINANCE LIMITED, (PAN-AAACJ1506D)</th></tr>
<tr><td>1. Whether there is any income Tax demand pending against the company? If Yes, the quantum thereof may kindly be communicated In view of the above it is requested that the concerned Assessing Officers for each of the above companies prepare their respective para-wise comments or instruction with respect to the present company petition and the Scheme of Amalgamation therein, including the following information:</td><td>A.Y.</td><td>Demand under Section</td><td>Outstanding</td></tr>
<tr><td></td><td colspan="3">As per System and record available, No demand is pending against the assessee.</td></tr>
<tr><td>2. The details of any proceeding under the income Tax Act pending against the above company, if any,</td><td colspan="3">As per the ITBA system of Ward-13(3) Delhi, No any proceeding pending.</td></tr>
<tr><td>3.Whether the Income Tax Department would have any objection to the said Scheme of Arrangement being approved by the Hon'ble NCLT? If yes, the detailed reasoning behind such objection.</td><td colspan="3">Department/Revenue reserves its right to initiate and/or continue any proceedings under IT Act, 1961.
Department/Revenue reserves its rights to recover any demand payable by the company, if it comes to the knowledge of the Department/Revenue.</td></tr>
<tr><td>4 Any other details or instruction which may have bearing on the case in order to safeguard the interest of the Revenue.</td><td colspan="3">------</td></tr>
</table>
</td></tr>
</table>

<table>
<tr><th>Petitioner Company</th><th>ITD Observations</th></tr>
<tr><td>Transferor Company No.5: Interglobal Steels Pvt Ltd</td><td>
In this regard, it is submitted that the assessee company M/s Interglobal Steels Pvt. Ltd.-AAACS0304A (Transferor Company) is assessed to tax with this office. As per Income tax database, there is no outstanding demand in respect of this company and the department has no objection in amalgamation of this company with M/s Star Wire (India) Limited-AAECS1124Q (Transferee Company).

The observations report in respects/report of M/s INTERGLOBAL STEELS PVT. LTD., (PAN-AAACS0304A) is as under:
<table>
<tr><td colspan="4">M/s INTERGLOBAL STEELS PVT. LTD., (PAN-AAACS0304A)</td></tr>
<tr><td rowspan="2">1. Whether there is any Income Tax demand pending against the company? If Yes, the quantum thereof may kindly be communicated. In view of the above it is requested that the concerned Assessing Officers for each of the above companies prepare their respective para-wise comments or instructions with respect to the present company petition and the Scheme of Amalgamation therein, including the following information:</td><td>A.Y.</td><td>Demand under Section</td><td>Outstanding</td></tr>
<tr><td colspan="3">As per System and record available, No demand is pending against the assessee company.</td></tr>
<tr><td>2. The details of any proceeding under the income Tax Act pending against the above company, if any.</td><td colspan="3">As per the ITBA system of Ward-12(1) Delhi, No proceeding pending.</td></tr>
<tr><td>3. Whether the Income Tax Department would have any objection to the said Scheme of Arrangement being approved by the Hon'ble NCLT? If yes, the detailed reasoning behind such objection.</td><td colspan="3">Department/Revenue reserves its right to initiate and/or continue any proceedings under IT Act, 1961.
Department/Revenue reserves its rights to recover any demand payable by the company, if it comes to the knowledge of the Department/Revenue.</td></tr>
<tr><td>4. Any other details or instruction which may have bearing on the case in order to safeguard the interest of the Revenue:</td><td colspan="3">--------</td></tr>
</table>
</td></tr>
<tr><td>Transferor Company No.6: Sun Source Leafin Pvt Ltd</td><td>
"In this regard, it is submitted that the assessee company M/s Star Wire (India) Electricity Private Limited, (AACCM6508J, M/s Star Wire (India) Biomass Private Limited, (AACCM7250R), and M/s Sun Source Leafin Private Limited, (AAECS8985R) (Transferor Company) is assessed to tax with this ward. As per income Tax database, there is no outstanding demand in respect of these company and the department has no objection in amalgamation of these companies with M/s Star Wire (India) Limited".
</td></tr>
<tr><td>Transferor Company No.7: Hollysea Finvest Pvt Ltd</td><td>
2. In this connection, it is submitted that this office has 'No Objection' on proposed amalgamation/merger u/s 233 of companies Act, 2013 of Hollysea Finvest Pvt. Ltd, PAN-AAACH7102F (Transferor Company) with Star Wire (India) Limited, PAN-AAECS1124Q (Transferee Company), the jurisdiction of Hollysea Finvest Pvt. Ltd, PAN- AAACH7102F pertains to Ward-11(1),Delhi.

3. The outstanding demand of Rs. 1130/- paid by the Assessee company vide challan no. 03067 dated 22.03.2023 and 03697 dated 22.03.2023. Hence as on date, there is no outstanding demand against the assessee company Hollysea Finvest Pvt. Ltd, PAN-AAACH7102F.
</td></tr>
<tr><td>Transferor Company No.8: Abhinandan Trafin Pvt Ltd</td><td>
In this regard, it is submitted that the assessee company M/s Abhinandan Traffin Private Limited – AACCA2154N (Transferor Company) is assessed to tax with this ward. As per income tax database, there is no outstanding demand in respect of this company and the department has no objection in amalgamation of this company with M/s Star Wire (India) Limited-AAECS1124Q (Transferee Company).
</td></tr>
</table>

Petitioner Company	ITD Observations
	Report in response to the notice issued to Income Tax Department u/s 230 of the Companies Act, 2013 to propose the scheme of arrangement/ amalgamating/ demerger. **M/s ABHINANDAN TRAFIN PRIVATE LIMITED (PAN-AACCA2154N)** 1. Whether there is any Income Tax demand pending against the company? If yes, the quantum thereof may kindly be communicated. In view of the above it is requested that the concerned Assessing Officers for each of the above companies prepare their respective para-wise comments or instructions with respect to the present company petition and the Scheme of Amalgamation therein, including the following information: A.Y. / Demand under Section / Outstanding As per System and record available, No demand is pending against the assessee. 2. The details of any proceeding under the income Tax Act pending against the above company, if any. As per the ITBA system of Ward-1(1) Delhi, no proceeding is pending. 3. Whether the Income Tax Department would have any objection to the said Scheme of Arrangement being approved by the Hon'ble NCLT? If yes, the detailed reasoning behind such objection. Department/Revenue reserves its right to initiate and/or continue any proceedings under IT Act, 1961. Department/Revenue reserves its rights to recover any demand payable by the company, if it comes to the knowledge of the Department/Revenue. 4. Any other details or instruction which may have bearing on the case in order to safeguard the interest of the Revenue.
Transferee Company: **Star Wire (India) Ltd**	Company) is assessed to tax with this ward. As per income Tax database, there is no outstanding demand in respect of these company and the department has no objection in amalgamation of these companies with **M/s Star Wire (India) Limited".** Kindly refer to the trailing mail on the above mentioned subject. The observations/report in respect of M/s Star Wire (India) Ltd (Transferee Company) is as under :- **M/s Star Wire (India) Ltd (AAECS1124Q)** 1. Whether there is any Income Tax demand pending against the company? If yes, the quantum thereof may kindly be communicated. In view of the above, it is requested that the concerned Assessing Officers for each of the above Companies prepare their respective para-wise comments or instructions with respect to the present Company Petition and the Scheme of Arrangement therein, including the following Total demand pending against the assessee is Rs.50,80,25,808/- as on date. In the present case, in the proposed scheme of amalgamation the assessee is transferee company.

Petitioner Company	ITD Observations
	information:
	2 The details of any proceeding under the Income Tax Act pending against the above Company, if any — As per the ITBA system of Circle- 22(2). New Delhi, no proceeding is pending against the company. However the assessee filed writ before the Hon'ble High Court, Delhi against the department for the A.Y 2013-14 in respect of proceedings u/s 147/148.
	3. Whether the Income Tax Department would have any objection to the said Scheme Arrangement being approved by the Hon'ble NCLT? If yes, the detailed reasoning behind such objection may kindly be provided — NO. However the department/Revenue reserves its right to initiate and/or continue proceedings under the Income Tax Act, 1961. Department/Revenue reserves its right behind to recover any demand payable by the company, if it comes to the knowledge of the department. As in the present case the assessee is transferee company.
	4. Any other details or instructions which may have a bearing on the case in order to safeguard the interest of the Revenue — ----------
Resulting Company: **Star Wire (India) Laboratories Pvt Ltd**	Company) is assessed to tax with this ward. As per income Tax database, there is no outstanding demand in respect of these company and the department has no objection in amalgamation of these companies with **M/s Star Wire (India) Laboratories Private Limited.** 2. It is submitted that the assessee. Star Wire (India) Laboratories Private Limited, PAN ABJCS7042R pertains to this office. There is no demand outstanding as per the ITBA portal of the department against the assessee. It is further intimated that the assessee has not filed any ITR till date. This is for your kind information and further necessary action.

(ii) In response to the above reports of the ITD, the Petitioner Companies has filed an affidavit vide Diary no. 01223/9 dated 08.02.2024 and 01966/16 dated 08.02.2024 respectively, in which it has submitted as under:

6. That the Income Tax Department in its report has made the following submissions:

a. Petitioner Transferor Companies No. 1 to 6, the Resulting Company and the Non-Petitioner Transferor Companies No. 7 & 8: The Income Tax Department has confirmed that no demand is outstanding against any of the Petitioner Transferor Companies No. 1 to 6, the Resulting Company and the Non-Petitioner Transferor Companies No. 7 & 8.

The Income Tax Department has given its no objection to the proposed Scheme of Arrangement qua all the Transferor Companies No. 1 to 8 and the Resulting Company.

b. **Petitioner Transferee Company:** The Income Tax Department has pointed out that there is an outstanding demand of ₹50,80,25,808 against the Transferee Company. The Company had filed Appeals before the CIT (Appeals) against the aforesaid demand. The aforesaid Appeals have since been disposed of by the Learned CIT (Appeals) in favor of the Company and no demand is outstanding/required to be paid by the Company.

The Income Tax Department has also pointed out that a Writ Petition has been filed by the Company before the Hon'ble Delhi High Court, against the Department. It is pertinent to mention that the said Writ Petition has been disposed of by the Hon'ble Delhi High Court.

The Income Tax Department has given its no objection to the proposed Scheme of Arrangement subject to protection of rights of the Income Tax Department.

Certificate from the Chartered Accountants confirming the aforesaid status of the Income Tax Dues/Demand in the Transferee Company is enclosed herewith marked as **Annexure: 2**.

7. That it is clarified and confirmed that the Scheme will not adversely affect the rights of recovery of the Income Tax Department, or any enquiry, investigation, scrutiny, or other proceedings, if any, being carried out by Income Tax Department against any of the Petitioner Companies. It is pertinent to mention that in terms of the provisions of

the Scheme of Arrangement, all the liabilities of the Transferor Companies No. 1 to 8 including tax liabilities, if any, will be transferred to and vested in the Transferee Company. Similarly, all the liabilities of the Demerged Undertaking of the Transferee Company will be transferred to and vest in the Resulting Company.

8. That we have no objection if the Hon'ble Tribunal grants specific liberty to the Income Tax Department to take out appropriate proceedings for recovery of any Income Tax Dues from the Transferor, Transferee or Resulting Companies or any other person who is liable for payment of such dues.

9. **That the Transferee Company and the Resulting Company undertake to pay any demand that may be raised by the Income Tax Department or any other competent authority in terms of the applicable provisions of law subsequent to the sanction of the Scheme by this Hon'ble Tribunal.**

10. That it may further be submitted that the Scheme of Arrangement is subject to the provisions of the Income Tax Act and the Petitioner Companies will comply with the provisions of the Income Tax, 1961. It is pertinent to mention that this Hon'ble Tribunal also clarifies that sanction of Scheme is subject to the provisions of the applicable laws.

11. That in view of the above, it is most respectfully submitted that this Hon'ble Tribunal may be pleased to grant its approval to the Scheme of Arrangement.

Reserve Bank of India

20. The Reserve Bank of India, vide diary no.01966/12 dated 11.12.2023, filed its report in CP(CAA) No.21/Chd/Hry/2023, which was taken on record vide this Tribunal order dated 22.12.2023.

8. It is submitted in this regard;

(i) That out of the above mentioned companies, 3 companies, being non-banking financial companies, were granted Certificate of Registration by RBI under Section 45IA(5) of the RBI Act to commence and carry on the business of non-banking financial institution, viz. COR No. **B-14.03206 dated January 25, 2010** issued in favour of Sun Source Leafin Pvt Ltd (Non-Petitioner/Transferor Company No.6), COR No. **B-14.03237 dated January 12, 2012** issued in favour of Hollysea Finvest Pvt Ltd. (Petitioner No. 1/Transferor Company No. 7) And COR No. **05.00097 dated February 18, 1998** issued in favour of Abhinandan Trafin Pvt Ltd (Petitioner No. 2/Transferor Company No. 8).

(ii) That Sunsource Leafin Private Limited had sought No Objection Certificate (NOC) from RBI for the proposed amalgamation with Star Wire (India) Laboratories Pvt. Ltd. vide its letter dated March 03, 2023. RBI had granted NOC for the same, vide communication dated November 16, 2023. A copy of the NOC dated 16.11.2023 issued by RBI to M/s Sunsource Leafin Private Limited is annexed as **Annexure I.**

(iii) That Abhinandan Trafin Private Limited vide its letter dated January 21, 2023 had informed RBI that it is surrendering its CoR on voluntary basis and requested RBI to cancel its CoR. Accordingly, taking into account that the company has ceased to carry on the business of a non-banking financial institution, RBI had cancelled the CoR of the said company, vide RBI's order dated May 22, 2023. A copy of the cancellation order dated 22.05.2023 issued by RBI is annexed as **Annexure II.**

(iv) That Hollysea Finvest Private Limited had initially sought NOC for the proposed amalgamation with Star Wire (India) Laboratories Pvt. Ltd., vide its letter dated March 03, 2023. Subsequently, the company had requested RBI for voluntary surrender of its CoR and requested for cancellation of its CoR, vide its email dated August 08, 2023. Accordingly, taking into account that the said company has ceased to carry on the business of a non-banking financial institution, the COR of the company was cancelled by RBI, vide its order dated November 15, 2023. A copy of the cancellation order dated 15.11.2023 issued by RBI is annexed as **Annexure III**.

9. It is therefore submitted that as regards Hollysea Finvest Private Limited and Abhinandan Trafin Private Limited, the RBI has cancelled the COR on voluntary surrender basis, on the ground that they have ceased to carry on the business of a non-banking financial institution, and the companies are now not under the regulatory purview of RBI. Further RBI has granted NOC to Sunsource Leafin Private Limited for the proposed amalgamation.

(i) In the hearing dated 23.08.204, it was stated by Mr. K.V. Singhal, Advocate for the RBI, after perusal of the scheme, the Bank has no objection to the Scheme. However, the Ld. Counsel appearing on behalf of the Petitioner Companies was directed to submit an affidavit to the effect that the core investment companies are not required to be registered with the RBI in view of the specific exemption granted by the RBI.

(ii) In compliance of the above directions, the Petitioner No.7/ Transferee Company have filed an additional affidavit vide diary no.01223/16 dated 29.08.24 wherein it has submitted as under:

3. That after a detailed hearing on 23rd August, 2024, the Hon'ble Tribunal was pleased to reserve its Order in the captioned 2nd motion Petition. During the course of argument, the Hon'ble Tribunal raised a question that whether a Core Investment Company (CIC) is required to be registered with the Reserve Bank of India (RBI) as a Non-Banking Finance Company (NBFC) or not. The Legal Counsel of the Petitioner Companies replied to the Hon'ble Tribunal that in terms of RBI Regulations, a CIC is not required to obtain any registration as a NBFC with the RBI. The Hon'ble Tribunal directed the Legal Counsel of the Petitioner Companies to file relevant notification(s) in support of his aforesaid submission.

4. That in compliance with the aforesaid Order dated 23rd August, 2024, we wish to make the following submissions:

a. In terms of RBI Regulations, a Core Investment Company (CIC) means a company which has deployed its funds in various group companies in the form of investment in shares or loans & advances etc. The RBI has specifically exempted the CIC's from the requirement of obtaining registration as Non-Banking Finance Company (NBFC).

Copy of the relevant RBI Notification No. DNBS.PD.221/CGM(US) 2011 dated 5th January, 2011 issued by the RBI, are enclosed herewith for your kind perusal and marked as **Annexure: 1**.

b. The aforesaid Notification is also available on the official website of the RBI at: www.rbi.org.in/Scripts/NotificationUser.aspx?Id=6196&Mode=0#N3.

c. Please note that the RBI has clarified the above position through its official **'FAQ on Core Investment Companies'** which is published on its official website: www.rbi.org.in. Point No. 30 of the aforesaid FAQ on CIC is relevant in the matter and the same is reproduced below for ready reference of the Hon'ble Tribunal:

"30. Whether CICs that are exempt from registration either because they have an asset size of less than Rs 100 crore or are not accessing public funds are required to register as NBFCs?

Ans: *CICs that (a) have an asset size of less than Rs.100 crore irrespective of whether they are accessing public funds or not and (b) have an asset size of Rs. 100 crore and above and are not accessing public funds have been exempt from registration with the Bank under Section 45IA of the RBI Act, 1934 in terms of notification No. DNBS.PD.221/CGM(US) 2011 dated January 5, 2011. Thus, they are not required to register with the Bank at all. As this is an exemption given under Section 45NC of the RBI Act, 1934, they are not required to approach the Bank at all.*

d. It is further submitted that the Transferor Companies No. 7 & 8 were registered with the Reserve Bank of India (the RBI) as non-deposit accepting Non-Banking Finance Companies (NBFC-ND). Since they were Core Investment Companies (CIC) in terms of the RBI Regulations and did not require NBFC Registration, both the Transferor Companies No. 7 & 8 surrendered their Certificate of Registration as NBFC to the RBI for cancellation. In view of the fact that these Companies were CIC's, the RBI cancelled the Certificate of Registration issued to the Transferor Companies No. 7 & 8. The above fact of 'Cancellation of NBFC Registration on Surrender' is also recorded in the NOC issued by the RBI to the Scheme of Arrangement.

e. It is pertinent to mention that Notices of the 1st motion Application as well as the 2nd motion Petition were duly served upon the Reserve Bank of India along with complete 1st motion and 2nd motion paper books. Pursuant to such notices, the RBI has given its No Objection to the Scheme of Arrangement.

A copy of the No Objection given by the RBI is enclosed herewith and marked as **Annexure: 2**.

f. It is further submitted that the Learned Standing Counsel of the RBI had categorically stated his No-Objection to the Scheme of Arrangement, during the course of his submissions before the Hon'ble Tribunal on 23rd August, 2024.

g. In view of the above, we do hereby clarify and confirm that Core Investment Companies (CIC) are not required to obtain registration as NBFC from the RBI.

Other Regulators

21. Vide order dated 12.07.24 this Tribunal directed the companies to file affidavits confirming that the Transferor Company No.1 is not engaged in generation/distribution of electricity and scheme is in compliance with Section 66 of the Companies Act, 2013. In compliance of above directions, the Petitioner companies have filed additional affidavit vide diary no.01223/15 dated 18.07.24 the relevant part of which is reproduced as below:

Sl. No.	Clarifications sought by the Hon'ble Tribunal	Response of the Petitioner Companies
1.	Affidavit to the effect that the Petitioner Transferor Company No. 1 is not registered or regulated by any Electricity Board	It is clarified and confirmed that Petitioner Transferor Company No. 1 was never engaged in either generation or distribution of electricity. Accordingly, it is confirmed that the Petitioner Transferor Company No. 1 is not registered or regulated by any Electricity Board or any Electricity Regulatory Authority.
2.	Affidavit to the effect that the Petitioner Transferor Company No. 2 is not engaged in biomass power generation nor it is regulated by any Electricity Board	It is clarified and confirmed that Petitioner Transferor Company No. 2 was never engaged in either generation or distribution of biomass power generation. Accordingly, it is confirmed that the Petitioner Transferor Company No. 2 is not registered or regulated by any Electricity Board or any Electricity Regulatory Authority.
3.	Affidavit to the effect that the Petitioner Transferor Company No. 4-Juhi Leasing and Finance Ltd is not engaged in NBFC activities	It is clarified and confirmed that the Transferor Company No. 4 has made investments in various Group Entities. It is a Core Investment Company (CIC) in terms of the RBI Regulations. The Transferor Company No. 4 is not engaged in NBFC activities required to be registered with the RBI. Accordingly, it is confirmed that the Petitioner Transferor Company No. 4 is not registered or governed by the Reserve Bank of India. It is pertinent to mention that Notice of the present Scheme of Arrangement was also given to the Reserve Bank of India. Pursuant to such notice, **the RBI has given its No Objection to the proposed Scheme of Arrangement.** A copy of the No Objection given by the RBI is enclosed herewith and marked as **Annexure: A.**
4.	One appointed date for the Scheme of Arrangement	The Scheme of Arrangement while defining the Appointed Date-1 and Appointed-2 also provides the Appointed Date(s) to be such date as may be approved by this Hon'ble Tribunal. **The Petitioner Companies are agreeable to keep one common 'Appointed date' of 1st April, 2023, for the purpose of the**

		aforesaid Composite Scheme of Arrangement. **Copies of the Board Resolutions** dated 15th July, 2024, passed by the Board of Directors of the Petitioner Transferee Company and the Resulting Company approving one common 'Appointed date' for the purpose of the Scheme of Arrangement are enclosed herewith and collectively marked as **Annexure: B.**
5.	Affidavit that the reduction of shares of the Resulting Company are in compliance with the provisions of Section 66 of the Companies Act, 2013	We wish to make the following submissions in this regard: **a.** Present issued and paid-up share capital of the Resulting Company is ₹20,000 divided into 2,000 Equity Shares of ₹10 each. In terms of the provisions of the Scheme, the Resulting Company will issue Shares to the Shareholders of the Transferee Company. However, it is proposed that upon the Scheme becoming effective, the Resulting Company will have Shareholders consisting of the Shareholders of the Transferee Company only. In other words, post-Scheme, the Resulting Company and the Transferee Company will have mirror shareholding [the same set of shareholders holding the same percentage of shares in both the Companies]. **b.** To achieve the aforesaid objective, the Scheme provides that upon the Scheme coming into effect, pre-Scheme issued and paid-up share capital of the Resulting Company consisting of 2,000 Equity Shares of ₹10 each aggregating ₹20,000, will stand cancelled without any payment being made to any Shareholders. **c.** It is clarified that since no payment will be made to any shareholder on the proposed reduction of share capital, no creditor of the Resulting Company will be adversely affected by such reduction of share capital. **d. It is confirmed that the proposed Cancellation/ Reduction of Share Capital of the Resulting Company in the aforesaid manner, shall be affected as an integral part of the Scheme only. Approval of the Scheme by the Shareholders and/or Creditors of the Resulting Company and sanction by this Hon'ble Tribunal under Sections 230 & 232 of the Companies Act, 2013, shall be sufficient compliance with the provisions of Section 66 of the Companies Act, 2013 and other**

		applicable provisions, if any, for the aforesaid Reduction of Share Capital. **e.** It is confirmed that proposed reduction of share capital would not involve either the diminution of any liability in respect of un-paid share capital or payment to any shareholder of any paid-up share capital. The Resulting Company is not proposing any buy-back of shares from its shareholders. Accordingly, the Resulting Company will not be required to use the words "and reduced" as part of their corporate name upon sanction of the Scheme. **f.** It is further submitted that the last explanation to Section 230 of the Companies Act, 2013, provides that: *"For the removal of doubts, it is hereby declared that the provisions of section 66 shall not apply to the reduction of share capital effected in pursuance of the order of the Tribunal under this section".* **g.** It is confirmed that the Resulting Company has never accepted any Public Deposit or issued any debentures or has any Secured Creditor. Hence, there is no question of any default in payment of interest or principal amount of Public Deposit, Debentures or towards any bank or Financial Institution. All the Shareholders and Un-secured creditors of the Resulting Company have already given their Consent Affidavits for the Scheme of Arrangement including the proposed cancellation of paid-up share capital of the Resulting Company without any payment being made to any Shareholders. **h. Without prejudice to the provisions of Section 230 of the Companies Act, 2013, it is confirmed that the proposed Cancellation/ Reduction of Share Capital of the Resulting Company is in compliance with the provisions of Section 66 of the Companies Act, 2013.**

22. The Petitioner Transferee company have also filed affidavit confirming non-applicability of the Competition Act,2002 vide diary no.01223/14 dated 11.07.24 wherein it has submitted as follows:

4. That it is clarified and confirmed that in terms of the provisions of the Competition Act, 2002, and the Regulations issued thereunder, no intimation to/approval from the Competition Commission of India (CCI) is required for the proposed Composite Scheme of Arrangement. This is by virtue of the De-minimis Exemption Notification available to the current Composite Scheme of Arrangement.

5. That it is pertinent to mention that all the Transferor Companies, the Transferee Company and the Resulting Company are closely held un-listed Group Companies under common management and control. It is further clarified and confirmed that the current Scheme will not result in change in management or control of these Companies.

6. That copies of the Audited Financial Statements for the Financial Year ended 31st March, 2022, of all the Petitioner Companies except the Resulting Company are enclosed herewith and collectively marked as **Annexure: 1**. It may be noted that the Resulting Company is incorporated on 10th November, 2022 and prepared its first Financial Statements for period ended 31st March, 2023.

7. That copies of the Audited Financial Statements for the Financial Year ended 31st March, 2023, of all the Petitioner Companies are enclosed herewith and collectively marked as **Annexure: 2**.

8. That copies of the Consolidated Financial Statements for last two Financial Years ended 31st March, 2022 and 31st March, 2023, of the Petitioner Companies, wherever applicable, are also enclosed herewith and collectively marked as **Annexure: 3**.

9. That it is clarified that the Petitioner Companies are yet to finalise their Financial Statements for Financial Year ended 31st March, 2024.

10. That the detail of Assets and Turnover of all the Petitioner Companies as on Audited Financial Statements for the year ended 31st March, 2022 and 31st March, 2022, is given below:

Part: A [Transferor Companies No. 1 to 8]

(₹ in crore)

Sl. No.	Transferor Company	F.Y. 2022-23		F.Y. 2021-22	
		Assets	Turnover	Assets	Turnover
1.	Transferor Company No. 1- Star Wire (India) Electricity Pvt Ltd	5.0897	0.00	3.6513	0.00
2.	Transferor Company No. 2- Star Wire (India) Biomass Pvt Ltd	8.6068	0.0207	8.6095	0.0322
3.	Transferor Company No. 3- Mumet (India) Pvt Ltd	12.9600	0.0042	12.9631	0.0017
4.	Transferor Company No. 4- Juhi Leasing and Finance Ltd	12.5383	0.0053	12.7898	0.0204
5.	Transferor Company No. 5- Interglobal Steels Pvt Ltd	9.0391	0.0400	9.0142	0.0400
6.	Transferor Company No. 6- Sun Source Leafin Pvt Ltd	19.7058	0.6229	19.2330	0.5565
7.	Transferor Company No. 7- Hollysea Finvest Pvt Ltd	10.5211	0.00	10.5277	0.00
8.	Transferor Company No. 8- Abhinandan Trafin Pvt Ltd	10.6552	0.00	10.6562	0.00
	Total (A)	**89.1160**	**0.6931**	**87.4448**	**0.6508**

Part: B [Demerged Business of the Transferee Company]

(₹ in crore)

Sl. No.	Demerged Business of the Transferee Company	F.Y. 2022-23		F.Y. 2021-22	
		Assets	Turnover	Assets	Turnover
1.	Demerged Business	8.26	3.74	8.41	3.61
	Total (B)	**8.26**	**3.74**	**8.41**	**3.61**

Part: C [Resulting Company]

(₹ in crore)

Sl. No.	Resulting Company	F.Y. 2022-23		F.Y. 2021-22	
		Assets	Turnover	Assets	Turnover
1.	Resulting Company- Star Wire (India) Laboratories Pvt Ltd	0.0052	0.00	N.A.	N.A.
	Total (C)	**0.0052**	**0.00**	**N.A.**	**N.A.**

Sub-Total (A+B+C) which is relevant for De-minimis Exemption

(₹ in crore)

	F.Y. 2022-23		F.Y. 2021-22	
	Assets	Turnover	Assets	Turnover
Sub-Total (A+B+C)	**97.38**	**4.43**	**95.85**	**4.26**

Part: D [Transferee Company]

(₹ in crore)

Sl. No.	Transferee Company	F.Y. 2022-23		F.Y. 2021-22	
		Assets	Turnover	Assets	Turnover
1.	Transferee Company- Star Wire (India) Ltd	1457.97	955.49	1230.05	841.43
	Total (D)	**1457.97**	**955.49**	**1230.05**	**841.43**

Grand Total (A+C+D)

(₹ in crore)

	F.Y. 2022-23		F.Y. 2021-22	
	Assets	Turnover	Assets	Turnover
Grand Total (A+C+D)	**1547.09**	**956.18**	**1317.49**	**842.08**

11. **De-minimis Exemption:** That it is pertinent to note that in terms of the Notification No. S.O. 988(E) dated 27th March, 2017, the following threshold has been provided:

Particulars	Assets not more than (₹ in crore)	Or	Turnover not more than (₹ in crore)
Aggregate Value of assets/turnover being acquired or merged or amalgamated	350		1,000

It may, further, be noted that the aforesaid Notification- S.O. 988(E) also clarified that in case of only a part of enterprise is being acquired or merged or amalgamated [which is the case of demerger], value of assets and turnover of that portion will be considered for calculating the thresholds under Section 5 of the Act.

12. That it is pertinent to mention that the aforesaid De-Minimis Exemption Thresholds have been increased vide Notification No. S.O. 1131(E) dated 7th March, 2024. The increased thresholds are given below:

Particulars	Assets not more than (₹ in crore)	Or	Turnover not more than (₹ in crore)
Aggregate Value of assets/turnover being acquired or merged or amalgamated	450		1,250

13. That, accordingly, aggregate amount of Assets or Turnover of all the Transferor Companies No. 1 to 8, the Resulting Company and the Demerged Business will be relevant to ascertain whether the De-minimis Exemption will be available for the proposed Scheme. It may be noted from the table given in Point No. 8 above, that the aggregate amount of assets and turnover of all the Transferor Companies No. 1 to 8, the Resulting Company and the Demerged Business is:

Particulars	Assets F.Y. 2022-23 (₹ in crore)	Assets F.Y. 2021-22 (₹ in crore)	Turnover F.Y. 2022-23 (₹ in crore)	Turnover F.Y. 2021-22 (₹ in crore)
Aggregate amount of assets and turnover of all the Transferor Companies No. 1 to 8, the Resulting Company and the Demerged Business	**97.38**	**95.85**	**4.43**	**4.26**

Since the Assets and Turnover are less than the De-minimis threshold of ₹ 350 crore or ₹1,000 crore, respectively, the present Scheme is very well covered under the De-minimis Exemption.

14. That in view of the above, we most respectfully wish to submit and confirm that the present Scheme is specifically exempted under the De-minimis Exemption Notification.

15. That it is, accordingly, clarified and confirmed that no intimation to or approval from the Competition Commission of India is required for the present Scheme in terms of the provisions of the Competition Act, 2022, the Competition Commission of India (Procedure in regard to the transaction of business relating to combinations) Regulations, 2011, rules, regulations and notifications issued thereunder and other applicable provisions, if any.

23. In CP(CAA)No.16/Chd/Hry/2023 and CP(CAA) No.21/Chd/Hry/2023 the certificate of the Statutory Auditors with respect to the Scheme between Transferor Companies and Transferee Company to the effect that the accounting treatment proposed in the Scheme is in compliance with applicable Indian Accounting Standards (Ind AS) as specified in Section 133 of the Act, has been attached as Annexure P-55 and Annexure P-46 respectively of the Second Motion Petition.

24. We have heard the learned Counsel for Petitioner Companies and learned Counsel for the Income Tax Department as well as Company Prosecutor for the RD/RoC and OL and perused the record carefully. All the Companies have made necessary compliance of all the statutory provisions and scheme is not against the public policy.

25. Subject to the Petitioner Companies complying with the requirement of various laws including the rules, and regulations, permission is hereby granted to the Scheme of Amalgamation proposed by the Petitioner Companies under Section 230 & 232 of the Companies Act, 2013. The sanctioned Scheme of Amalgamation shall be binding on all the Transferor Companies, Transferee Company and Resulting Company and

their Shareholders and Creditors. The Petitioner Companies shall remain bound to comply with all the statutory requirements in accordance with law.

26. Notwithstanding the submission that no investigation is pending against any petitioner company, if there is any deficiency found or, the violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Tribunal will not come in the way of action being taken, albeit, in accordance with the law, against the concerned persons, directors and officials of the petitioners.

27. While approving the scheme as above, it is clarified that this order should not be construed as approval by any statutory authorities viz. RBI, SEBI, CCI etc. or any sectoral regulator; or construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges or payment, if any, due or required in accordance with law or in respect to any permission/ compliance with any other requirement, which may be specifically required under any law. Further, the approval of the scheme would in no manner affect the tax treatment of the transactions under the Income Tax Act, 1961, or serve as any exemption or defense for the Petitioner Company against Tax Treatment in accordance with the provisions of the Income Tax Act, 1961 and the rules and regulations made there under.

28. This Tribunal further directs that:

(i) The Appointed Date for the Scheme both for amalgamation and demerger shall be 01.04.2022; Upon the sanction becoming effective from the appointed date, the Transferor Companies shall stand dissolved without undergoing the process of winding up;

(ii) All the properties, rights and powers of the Transferor Companies be transferred, without further act or deed, to the Transferee/Resulting

Company(ies) and accordingly, the same shall pursuant to Sections 230 to 232 read with Section 52 and 66 of the Companies Act, 2013, be transferred to and vested in the Transferee/Resulting Company(ies) for all the estate and interest of the Transferor/ Transferee Companies but subject nevertheless to all charges now affecting the same;

(iii) All the liabilities and duties of the Transferor/ Transferee Companies be transferred, without further act or deed, to the Transferee Company/Resulting Company(ies) and accordingly the same shall pursuant to Sections 230 to 232 and Section 52 and 66 of the Companies Act, 2013, be transferred to and become the liabilities and duties of the Transferee/Resulting Company(ies);

(iv) The authorized share capital of the Transferee Company/ Resulting Companies, after the Scheme becoming effective, shall be in accordance with Section 232(3)(i) of the Companies Act, 2013 and the fee, if any, paid by the Transferor Companies on its authorized capital shall be set off against any fees payable by the Transferee/Resulting Company(ies) on its authorized capital subsequent to the to the sanction of the 'Scheme';

(v) The Transferee/Resulting Company(ies) shall, without further application, allot to the existing members of the Transferor/ Transferee Companies shares of the Transferee/Resulting Company(ies) to which they are entitled under the said Scheme;

(vi) The Transferee/Resulting Company(ies) shall file the revised Memorandum and Articles of Association with the concerned Registrar of Companies and further make the requisite payments of the differential fee

(if any) for the enhancement of authorized capital of the Transferee Company after setting off the fees paid by the Transferor Companies;

(vii) All proceedings pending, if any, by or against the Transferor/Transferee Companies be continued by or against the Transferee/Resulting Company(ies)in terms of the 'Scheme';

(viii) All the employees of the Transferor/ Transferee Companies shall be deemed to have become the employees and the staff of the Transferee/Resulting Company(ies) with effect from the Appointed Date, and shall stand transferred to the Transferee/Resulting Company(ies) without any interruption of service and on the terms and conditions no less favourable than those on which they are engaged by the Transferor/ Transferee Companies, as on the Effective Date, including in relation to the level of remuneration and contractual and statutory benefits, incentive plans, terminal benefits, gratuity plans, provident plans and any other retirement benefits;

(ix) All the tax liabilities and all the pending appeals and proceedings under the Income Tax Act, if pending against the Transferor/ Transferee Companies is transferred to the Transferee/ Resulting Companies and shall be enforced and continued against the Transferee/Resulting Companies and all compliances under Income Tax Act, 1961 shall be made by Transferee Company/ Resulting Company after the Appointed Date. The Scheme will not adversely affect the rights of recovery of the Income Tax Department, or any enquiry, investigation, scrutiny, or other proceedings, if any, being carried out by Income Tax Department against any of the Petitioner Companies.

(x) Further, the Income Tax department is permitted to retain its recourse for recovery in respect of demand and any other future liabilities of the Transferor/ Transferee Companies as well as the Transferee/Resulting Companies, in respect of the assets sought to be transferred under the proposed scheme. The Transferee/Resulting Companies are also directed to discharge the outstanding demand, if any, found later against the Transferor/ Transferee Companies. Further, the Petitioner Companies are directed to comply with the conditions laid down in ITD reports as per the law.

(xi) The Transferee/Resulting Companies will clear all the pending statutory dues after exercising all Appellate jurisdictions and as per final orders. The Scheme shall not come in the way of the statutory authorities to recover any of their dues. All the contentions of the parties shall remain open before the relevant forum(s), where disputes are pending;

(xii) Any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary;

(xiii) As per the aforesaid directions and Form No. CAA-7 of Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, formal order be issued to the petitioners to the filing of the Schedule of Properties within three weeks from the date of receiving the certified copy of this order.

29. The Petitioner Companies shall, within 30 days after the date of receipt of this Order, cause a certified copy of this Order to be delivered to the RoC for registration in prescribed form and on such certified copy being so delivered; the Transferor Companies shall be dissolved without undergoing the process of winding up.

30. The certified copy of this order, if applied for, be supplied to the parties, subject to compliance with all requisite formalities. The certified copy of this Order, if applied for, be supplied to the parties, subject to compliance with all requisite formalities.

31. The Company Petition CP(CAA) No.16/Chd/Hry/2023 is allowed and disposed of accordingly.

Sd/-

(**UMESH KUMAR SHUKLA)**
Member (Technical)

Sd/-

(**HARNAM SINGH THAKUR**)
Member (Judicial)

November 06, 2024

Aks